

though, you'll need to know a little more about the indexes themselves. Here are a few of the better-known ones:

- **The S&P 500.** The most popular index is the S&P 500, which is based on 500 of the largest U.S. companies, including such major players as General Electric, Microsoft, and Coca-Cola. There are a lot of S&P 500 index funds out there, some of which have very modest fees and are willing to accept a relatively small initial investment. While this is a fine place to start, especially if you don't have much money to invest, the S&P 500 has its drawbacks as well. Though large-company stocks (also known as "large capitalization" stocks, or large caps) did incredibly well throughout the 1990s, they didn't do as well as small-company stocks (small caps) between 2000 and 2007. No one knows where the trend will go, so for better diversification, you might want to invest in an index that includes the stocks of small-and medium-sized companies as well (see the next index)—or invest in a few different index funds.
- **The Dow Jones Wilshire 5000 Index.** This index comes closest to reflecting the performance of the U.S. stock market as a whole. Despite its name, the Dow Wilshire 5000 is actually made up of approximately 4,800 stocks, including those of a wide range of small, medium, and large companies. If you invest in only one, this is a good one to consider.
- **The MSCI US Broad Market Index.** This index is somewhat less inclusive than the Dow Wilshire 5000. It leaves out 900 of the smallest companies but still reflects about 99.5% of all the money in the U.S. stock market.
- **The MSCI EAFE Index.** If you're looking for more diversity, you may want to consider investing a small portion of your money in the stock markets of other countries. The MSCI EAFE Index tracks the performance of about 1,000 companies based in Europe, "Australasia" (a mash-up name